



nation's wealth is with these billionaires and that concentration is a risk for a country like India. Why do you think so?

A: Generally, if you have too many billionaires in a country, it sows the seeds for some sort of a populist backlash... in places like Russia, the reason why [President Vladimir] Putin has so much control over the billionaires is because they are hated by the population. But there are two other aspects of the analysis. Billionaires who are self-made are more celebrated than those who have inherited their wealth... The second is that you want the billionaire to be created in the so-called productive sectors with not too much government help. That is where India scores relatively well. Of course, India has one structural problem—and this is like more of a cultural problem—that India ranks the highest in terms of the number of people who inherited their wealth. But the good thing is that at least we're seeing new billionaires come through the route in manufacturing and healthcare; [and] many of them are first-generation billionaires.

Q: What's your view on the Indian stock markets? Many market analysts are speaking about how 100,000 is only a matter of when, not if. What's your view?

A: It's a matter of time. Over time, the Indian stock market in dollar terms has given a return of around 10-12 per cent or so every year. And in inflation-adjusted terms too, the Indian stock market has been

the best-performing emerging market over the past 20 years or so. When I had done my last analysis nearly a year ago, when India was about to turn 75, I projected that the Sensex would hit 100,000 within a decade. I think that is a pretty reasonable assumption. Just to put this in perspective, in terms of how much there is upside potential in India, the entire stock market of India—if you look at the stock market worth—is the same as the market cap of one company in the US, which is Apple. So, I'd say that there's ample potential for the Indian stock market to do well. The issue is the pace at which it does well... Today, India is also the most expensive emerging market in the world... So, coming back to my original point, that the expectations

of India today are very high; those expectations are reflected in the valuations of the stock market.

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Q: One of India's big advantages is that it has a young population. But we're also in the age of AI (artificial intelligence) where the reports say that 300 million-plus jobs would be automated. Does this then put India in a very precarious position?

A: The jobless threat coming from automation and AI, let's acknowledge, has been grossly exaggerated because these projections have been around for the last 5-10 years... What is the ground reality? The global unemployment rate today is extremely low... the US has an unemployment rate of only 3.5 per cent. So, these projections of joblessness have not happened so far.

Q: But does AI pose a threat?

A: I like the old line on this that the history of development is that it's not jobs that are lost, but professions that are lost. So, we will see a big professional churn, which is that some professions will go out of business. But I always believe that there will be jobs around... but the professions will change. What those new professions are is always harder to predict.

Q: Is this likely to play out to India's advantage or disadvantage?

A: The thinking on this keeps changing because now the thinking is with AI, it's the white-collar jobs that